Koppers Co. 4s) had earned their interest better than three times in the single year 1936.

NOTE 14

See pp. 641–643 of the 1934 edition of this work for fuller details concerning the following examples of predepression collapses in earnings power:

1. Botany Consolidated Mills, Inc., First $6^1/_2$s, due 1934, were issued in 1924. Net available for the charges thereon in that year and in the seven preceding years averaged close to $5^3/_4$ times the charges, and the bonds sold at fixed-value prices until 1926 when the company suffered an operating deficit. Thereafter (with an insignificant exception in 1927) large and growing operating deficits were shown until receivership overtook the company in 1932. In the latter year the bonds sold at 5 cents on the dollar. They had sold as low as 59 and 40, respectively, in the prosperous years 1928 and 1929.

2. R. Hoe & Co. First $6^1/_2$s, due 1934, were issued in 1924. Average earnings in the preceding three years were 3.2 times the sum of interest charges on the new bonds and other fixed charges, without allowance for any earnings from the new capital raised by the issue. Earnings declined in 1924 and continued to decline in the ensuing years with the exception of 1929. Nonetheless, the bonds continued to sell close to par, despite inadequate coverage, until 1928. Thereafter they declined to as low as 75 in 1929. In 1932 receivership intervened, and the bonds sold as low as $6^1/_8$.

3. Long-Bell Lumber Corp. showed an almost uninterrupted decline in net earnings for the period 1922–1932. When Long-Bell Lumber Co. (a subsidiary) sold First Mortgage 6s in 1926, average coverage was well above the minimum required for industrial exhibits. But average coverage for 1926–1929 was only 1.37 times, and the company exhibited operating deficits thereafter until default on the bonds in 1932.

4. National Radiator Corp. Debenture $6^1/_2$s, due 1947, were offered at par in 1927. Available earnings in 1922–1926 had averaged 3.5 times the charges on the bonds, without allowing for additional earnings on the new capital. Coverage of fixed charges was adequate in 1927; but operating deficits were encountered in the ensuing three years, and receivers were appointed in 1931.

NOTE 15

For earlier examples note: Mexican Light & Power Co. First 5s, due in 1940, were not in default in June 1933 and were selling at 50, whereas the issues of the